Policy Tax & Super Tax reform

Expanding GST better for economy than company and high-income taxes

John Kehoe and **Ronald Mizen**

Listen to this article
7 min

Aug 4, 2025 – 8.00pm

Expanding the goods and services tax, council land rates and the tax on offshore oil and gas would be the most growth-friendly ways to pay for reductions in corporate tax, according to modelling for the Productivity Commission.

Among the most economically damaging

potential changes would be to raise more government revenue through the existing corporate tax system and from high earners already paying a 47 per cent rate for incomes above $190,000.



Anthony Albanese has downplayed the prospects of Jim Chalmers' roundtable delivering major changes. **Bethany Rae**

The previously unreported modelling by independent economist Chris Murphy was commissioned by the Productivity Commission and attached to its report on

corporate tax released last week in the lead-up to Treasurer Jim Chalmers' economic roundtable from August 19 to 21.

Murphy is recognised as one of the nation's leading economic modellers on tax and did similar work for former Treasury secretary Ken Henry's sweeping tax review in 2009.

Fuelled by dozens of submissions and demands from stakeholders and special interest groups, expectations have been growing that Chalmers would use the roundtable as cover to overhaul the economy and implement major policy changes, including to tax, which Labor did not take to the federal election.

Prime Minister Anthony Albanese on Monday sought to temper expectations of a

major reform agenda coming from the meeting of business, unions and community groups, saying it was just a roundtable, “not more than that”.

“I expect that there’ll be a whole range of ideas put forward, much of which is contradictory with each other,” Albanese said. “It doesn’t mean that they’re government decisions we’re making because they’re not.”

Read more: Tax reform debate heats up

- Wealth taxes on the agenda at Chalmers' productivity summit [https://www.afr.com/politics/federal/wealth-taxes-productivity-summit-jim-chalmers-20250801-p5mjhm]
- Radical company tax plan splits CEOs, Henry and unions [https://www.afr.com/wealth/tax/radical-company-tax-plan-splits-ceos-henry-and-unions-20250801-p5mjjm]

- ‘No net tax increase’: Coalition’s red line for Chalmers’ summit [https://www.afr.com/politics/federal/no-net-tax-increase-coalition-s-red-line-for-chalmers-summit-20250731-p5mj5x]
- Hit capital gains and trusts to cut income tax, experts tell Chalmers [https://www.afr.com/wealth/tax/hit-capital-gains-and-trusts-to-cut-income-tax-experts-tell-chalmers-20250725-p5mhpn]
- Opinion | A higher GST is no longer the good tax reform that Ken Henry claimed [https://www.afr.com/policy/tax-and-super/tax-breaks-pitch-to-reward-new-business-investment-20250727-p5mi3d]

Unions have demanded tax increases on high-income earners, family trusts, gas exporters, miners and property investors.

Business has called for cuts to corporate taxes, while the Commonwealth Bank of Australia has urged that higher wealth and superannuation taxes be considered in return for cutting income tax.

A 40-page modelling report by economist Murphy lays out the economic cost of various taxes and the impact if they were adjusted.

“Per extra dollar of revenue raised, the GST does the least economic harm, followed by personal income tax, followed by company income tax with the most economic harm,” Murphy’s report says of the three largest tax bases.

“This pattern of marginal excess burdens implies that we can substantially increase consumer welfare by shifting the tax mix away from a more harmful tax like company tax towards a less harmful tax.”

The findings help explain why the commission in its interim report last week recommended slashing the corporate rate to 20 per cent, from the current 25-30 per cent

for companies with revenue below $1 billion, to stimulate business investment in machinery, tools and technology.

But the commission's deputy chairman, Alex Robson, admitted the recommendation was constrained by seeking to make corporate tax changes budget neutral.

The commission imposed that constraint on itself, after Chalmers said overall tax changes need to be neutral or improve the budget.

The cost to the federal budget would be neutralised by the commission's proposed new 5 per cent cash flow tax on all companies [https://www.afr.com/policy/tax-and-super/pc-reform-would-raise-tax-for-top-500-companies-20250730-p5mitk], which is estimated by Murphy to raise $8.2 billion for the government. This would increase the tax

burden on about 500 of the largest companies.

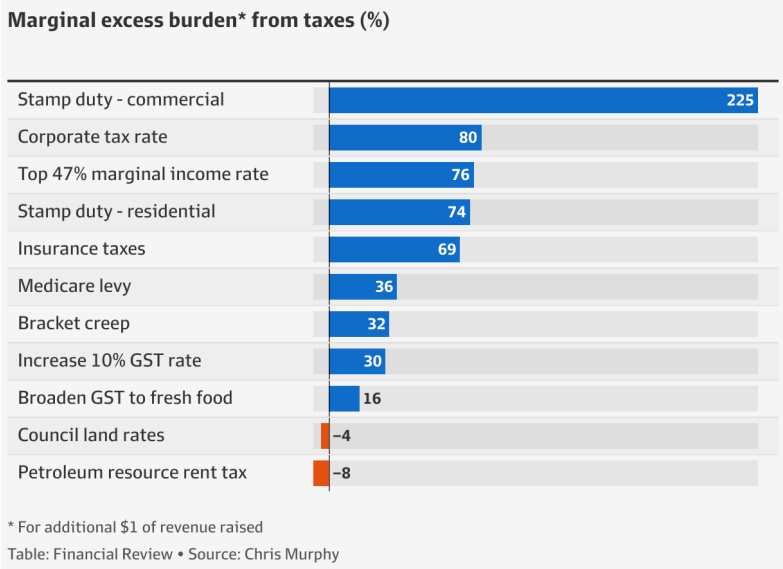
Murphy's modelling found that compared to the existing 30 per cent corporate tax system, the cash flow tax would be better for investment and target above-normal corporate profits or so-called economic rents, including in mining, financial services and land.

Shifting the tax burden

Overall, the tax changes could increase investment by an estimated $7.4 billion and boost the overall size of the economy by $14 billion, or 0.5 per cent of GDP over the next decade, the modelling estimated.

Murphy modelled a range of potential tax

change options.



Increasing the offshore oil and gas tax, known as the petroleum resource rent tax, would have a positive impact on the economy, Murphy found.

Raising more revenue from local council rates – a form of land tax on the unimproved value of all properties, including the

principal place of residence – would also have no negative impact on economic growth.

Extending the GST to fresh food would have a low marginal excess burden of only 16 per cent. Raising the 10 per cent GST rate would have a 30 per cent marginal excess burden – still far lower than various income taxes and corporate tax.

The excess burden of a tax measures the economic harm from a tax's disincentive effects, such as on work and investment. It estimates the economic harm from raising an additional dollar of revenue from a particular tax.

In contrast, raising more revenue from the existing corporate tax base had a high marginal excess burden of 80 per cent and

the top marginal rate had a 76 per cent burden.

The 2 per cent Medicare levy on income earners had a marginal excess burden of 36 per cent, and bracket creep had a burden of 32 per cent.

The findings come as the Liberal Party's associated think tank, the Menzies Research Centre, in a new report proposed indexing the income tax thresholds [https://www.afr.com/policy/tax-and-super/ending-bracket-creep-would-make-the-three-stage-tax-cuts-permanent-20250804-p5mk7m] as a way of stopping stealth income tax increases and imposing discipline on government spending.

Menzies Research Centre chief economist Nico Louw said: "Indexation isn't new

spending, it's simply stopping unjustified tax grabs before they start."

"Some will say indexation is unaffordable. But the real risk is a system that quietly raises taxes on millions without a vote, a debate or a mandate."

Indexing the income tax thresholds to inflation would cost the budget between $20 billion and $34 billion over four years.

It could be achieved by delaying the indexation of the tax-free threshold until 2028–29, he said.

During the federal election campaign, Liberal campaign headquarters proposed to then Opposition leader Peter Dutton to gradually phase in the indexation of income tax brackets

[https://www.afr.com/politics/federal/how-the-liberals-got-it-so-wrong-20250504-p5lwd6] by 0.5 percentage points a year, to a maximum of 2.5 per cent after about five years.

But Dutton's office got cold feet on the idea about 48 hours from the mooted campaign announcement.

Separately, the Productivity Commission found that state government stamp duty on commercial property transfers were the most damaging tax, with a 225 per cent burden – implying the economic damage was multiples of what the state transaction taxes raise in revenue.

Residential stamp duty had a high marginal excess burden of 74 per cent, because it deters people from moving to more suitable accommodation.

Murphy was not immediately available to comment on Monday.

RELATED



Productivity summit [/topic/productivity-summit-6hss]

Wealth taxes on the agenda at Chalmers' productivity summit

https://www.afr.com/politics/federal/wealth-taxes-productivity-summit-jim-chalmers-20250801-p5mjhm



Productivity summit [/topic/productivity-summit-6hss]

Radical company tax plan splits CEOs, Henry and unions

https://www.afr.com/wealth/tax/radical-company-tax-plan-splits-ceos-henry-and-unions-20250801-p5mjjm

John Kehoe is economics editor at Parliament House,

Canberra. He writes on economics, politics and business. John was Washington correspondent covering Donald Trump's first election. He joined the Financial Review in 2008 from Treasury. *Connect with John on Twitter. Email John at jkehoe@afr.com*

Ronald Mizen is the Financial Review's political correspondent, reporting from the press gallery at Parliament House, Canberra. *Connect with Ronald on Twitter. Email Ronald at ronald.mizen@afr.com*